Stock pitch · Systematic value portfolio

Renault

Euronext Paris: RNO · Consumer Discretionary · France · Price €28.17 (29 Oct 2026)

BUY · contrarian, 12-18 months

The market values Renault at roughly its cash pile plus its finance arm: the car business, the Nissan stake and a new product cycle come for free.

Noah Doose · 29 October 2026 · Student research for interview purposes, not investment advice. Not affiliated with, endorsed by or prepared for any firm.

Key metrics

	Renault	Auto peers (median)	Comment
Market cap	€7.7bn	—	272m shares (to verify: treasury shares)
P/E 2026e (consensus)	4.3x	—	MarketScreener, third-party
P/B	0.35x	0.60x	pipeline, 31/12/2025
P/FCF	1.9x	4.2x	pipeline, 31/12/2025
Dividend yield	7.8%	—	€2.20 paid May 2026
Automotive net cash	€6.6bn	—	= 86% of market cap
Value score rank	1 / 102	—	Consumer Discretionary, Dec 2025

Source: Renault H1 2026 financial report (29 Jul 2026); MarketScreener and StockAnalysis (29 Oct 2026); pipeline (Stellantis, VW, Mercedes, BMW, Toyota, Honda)

Investment case in three points

1. The balance sheet is the floor. Automotive net cash of €6.6bn (June 2026) covers 86% of the market value; the finance arm (Mobilize Financial Services) earns about €1.5bn of operating margin a year on top.

2. The reset is done. Guidance fell from ≥ 7% margin (early 2025) to ~5.5% for 2026, confirmed three times, and the futuREady plan resets the band at 5-7%. Expectations are low and now credible.

3. A product cycle is starting. 36 launches by 2030 on a two-year development cycle; Clio VI, Boreal, Twingo and Duster are already out; Q3 2026 revenue beat consensus (+1.4% vs −0.3%).

Source: Renault FY2025 results (19 Feb 2026), futuREady plan (10 Mar 2026), Q3 2026 revenue (29 Oct 2026); Visible Alpha consensus via press

Business and position in the cycle

Automotive (~88% of revenue): Renault, Dacia, Alpine; strong in European B/C segments; 52% electrified mix in Europe (H1 2026). No US sales, so US tariffs are second order.

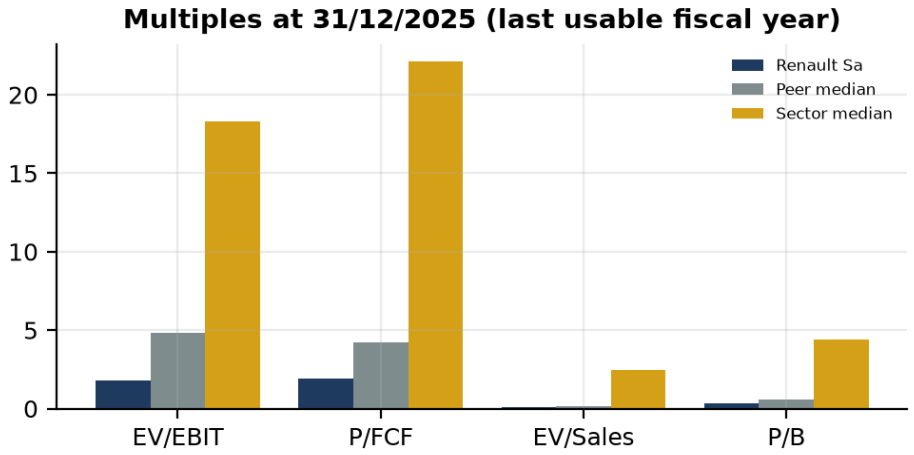
Mobilize Financial Services (~12%): captive car finance (ex-RCI Banque); pays dividends to Automotive (€250m in H1 2026, rising towards ~€500m a year).

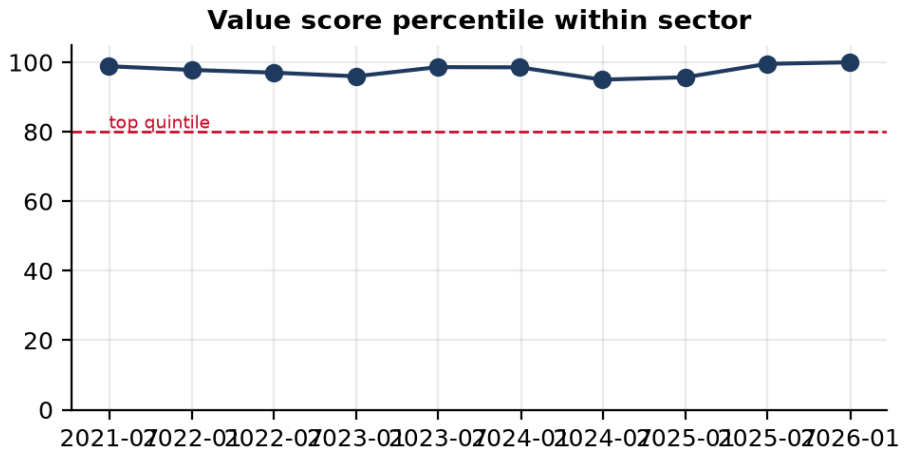
Nissan stake (~35%, to verify): held at fair value through equity since June 2025 after a €9.3bn non-cash write-down.

Cycle: European demand is flat and Chinese competition is intensifying: volumes fell 6% in Q3 2026 (Dacia −12.8%), while pricing and mix held. We buy at the bottom of the margin range, not at the top.

Source: Renault H1 2026 financial report and Q3 2026 revenue release; press on the Nissan stake (to verify)

Valuation snapshot: why the screen flags Renault





Renault ranks first of 102 in its sector on our score; it has been in the top quintile of its sector at every date since 2021 and was selected at 7 of 10 rebalances (the bands decide the rest).

Caution: the screen's EV/EBIT of 1.8x is distorted. A carmaker that consolidates a bank and holds a large equity stake does not fit a single EV. We rebuild the value by parts (slide 8).

On P/B and P/FCF, Renault still trades at about half the European and Japanese auto median.

Source: pipeline (pitches/assets/RNO_FP), multiples on last usable fiscal year at 31/12/2025, Bloomberg-derived

Current vs normalised earnings

	2024	2025	2026 guide	Mid-cycle (futuREady)
Group operating margin	7.6%	6.3%	~5.5%	5-7%
Automotive FCF	—	€1.5bn	~€1.0bn	≥ €1.5bn a year on average
Implied FCF yield on today's price	—	20%	13%	≥ 20%

Reading: on trough 2026 cash flow the stock yields about 13%; on the plan's mid-cycle cash flow, about 20%. The market is pricing the trough as permanent.

Source: Renault FY2025 results and futuREady plan; own calculation on market cap at €28.17

What the market believes — and why we disagree

1. "Chinese competition will crush margins." Volumes are under pressure, but Renault kept pricing and mix; the plan cuts variable costs by about €400 per car a year and development time to two years.

2. "The cash is trapped." Net cash is real and investment-grade rated (S&P BBB−, Dec 2025); the 2025 dividend (€2.20) was paid from it.

3. "Management keeps cutting guidance." A new CEO (François Provost, July 2025) reset targets once; 2026 guidance has been confirmed in February, July and October.

4. "Nissan is a black hole." The stake was written down by €9.3bn; any monetisation is pure upside to our valuation, which gives it no value.

Source: Renault results releases 2025-2026; S&P rating action (18 Dec 2025, via company)

Valuation: earnings scenarios and sum of the parts

Scenario	2027 EPS	P/E	Value / share	vs €28.17
Bear	€4.0	5x	€20	-29%
Base	€6.0	6x	€36	+28%
Bull	€7.0	7x	€49	+74%

Sum of the parts (illustrative): automotive net cash €6.6bn + Mobilize at 7x after-tax earnings (≈ €7.9bn) = €14bn, against a €7.7bn market cap — before any value for the car business or the Nissan stake. Haircut the cash for working-capital swings and it still covers most of the price.

Consensus: 18 analysts, average target €37.9 (third-party), close to our base case.

Source: own calculations; consensus EPS implied by P/E 4.3x (≈ €6.6); MarketScreener (29 Oct 2026); Renault H1 2026 report

Risks and sell triggers

Price war in Europe: Chinese brands (BYD, Geely, ...) and Dacia volume losses could push the margin below the 5% floor.

Cost inflation: raw materials, energy and logistics after the Middle East crisis.

Execution: futuREady relies on faster, cheaper development and restructuring (€313m costs in H1 2026).

Regulation: EU CO2 rules and EV pricing; credit risk at Mobilize if used-car prices fall.

We sell if: 2026 margin comes in below ~5% or FCF well below €1bn; automotive net cash falls below ~€5bn without a clear reason; another guidance cut in February 2027; or the dividend is cut.

Source: Renault H1 2026 report risk section; own triggers

Place in the portfolio

2%	0.5%	-24.3%	+10.8%
equal-weight portfolio	minimum-variance (floor)	H1 2026 total return (EUR)	MSCI World Net EUR, H1 2026

Held at 7 of 10 rebalances since 2021 — a recurring value name.

H1 2026 hurt (−24%): volumes and Middle East costs. Score and thesis are intact, so the position is kept, not added to before the February results.

Minimum variance gives it the 0.5% floor: high volatility, a reminder that cheap and risky often go together.

Source: outputs/portfolio/weights_*.csv; backtest returns net of withholding tax (pipeline)

Sources

[S1] Renault Group, H1 2026 financial report and results, 29 Jul 2026 — renaultgroup.com/en/finance (accessed 29 Oct 2026)

[S2] Renault Group, Q3 2026 revenue press release, 29 Oct 2026 (accessed 29 Oct 2026)

[S3] Renault Group, FY2025 results press release, 19 Feb 2026 (accessed 29 Oct 2026)

[S4] Press coverage of FY2025 results and the Nissan accounting loss, Feb 2026 (accessed 29 Oct 2026)

[S5] Press coverage of CEO change and profit warning, Jun-Jul 2025 (accessed 29 Oct 2026)

[S6] Renault Group, futuREady strategic plan, 10 Mar 2026 (accessed 29 Oct 2026)

[S7] Visible Alpha consensus for Q3 2026, via press, 29 Oct 2026

[S8] MarketScreener, Renault quote, consensus and multiples, 29 Oct 2026 (third-party)

[S9] StockAnalysis, Renault statistics, 29 Oct 2026 (third-party)

[S10] Ad-hoc-news, 52-week range, 29 Oct 2026 (third-party)

Portfolio Project pipeline: score, multiples (last usable fiscal year, Bloomberg-derived), weights, returns

To verify / to provide (pitches/sources/RNO_FP/A_FOURNIR.md): FY2025 financial report and URD, Nissan stake value, FY2025 automotive margin, share count.